diarchy wherein communications and defence forces were handled by the British but the civil government was still being controlled by the Maharaja through his governor.[19]

Interestingly, in 1931, when there were riots in Srinagar, the British were trying to persuade the Maharaja to take on greater financial responsibility for the Corps of Gilgit Scouts, who were the primary defence forces in the region. This was because the global depression had affected the Indian Government's budgets. The Maharaja sat over this proposal until mid-1933 and presented a set of counter-proposals. He was ready to take on the entire financial burden for the defence of Gilgit provided the system of diarchy was terminated and complete authority returned to the governor. Hari Singh's sights were clearly set on exploiting the situation in Sinkiang and using it to his advantage. The British, in the meanwhile, parried the Maharaja's growing political ambitions by acting upon the Glancy Commission's proposal to introduce a constitution in the state, thereby leaving the Maharaja to cope with internal dissent in the valley. The Government of India got the opportunity they were looking for and sought to secure all rights in the region for themselves.

Formal negotiations between the Maharaja and the government began in October 1934, right after the constitution was introduced. The Maharaja was represented by his Prime Minister, Col. Colvin and the Government of India was represented by the Resident in Kashmir, Lt. Col. Lang, assisted by B. J. Glancy, who had forced the constitutional changes upon the Maharaja's rule. On 26 March 1935, the Maharaja leased the entire Gilgit *wazarat*, or kingdom, north of the Indus and all its vassal states to the British for a period of 60 years. The annual lease, a paltry sum of 1,250 rupees, was paid to the Maharaja as a lump sum of 75,000 rupees. On 1 October 1935, the British Political Agent in Gilgit, Maj. G. Kirkbride, took absolute charge of the region.

Thereafter in 1938, the Kuomintang regime in China closed down the Khunjerab Pass (the trade route between Sinkiang and Gilgit) and the Karakoram Pass (the trade route between Sinkiang and Leh). This was because a number of local warlords from Sinkiang were using these passes